



Telco Customer Churn Analysis

A Business Analytics Case Study

Business Problem Statement

- **Why are customers leaving the company?**

Understanding drivers of churn allows the business to move from reactive tracking to proactive retention.

- **Which factors contribute most to customer churn?**

Identifying the strongest driver lets the business target retention efforts where they matter most.

Dataset Overview

7,043

Customers Analyzed

3

Contract Types Compared

Excel

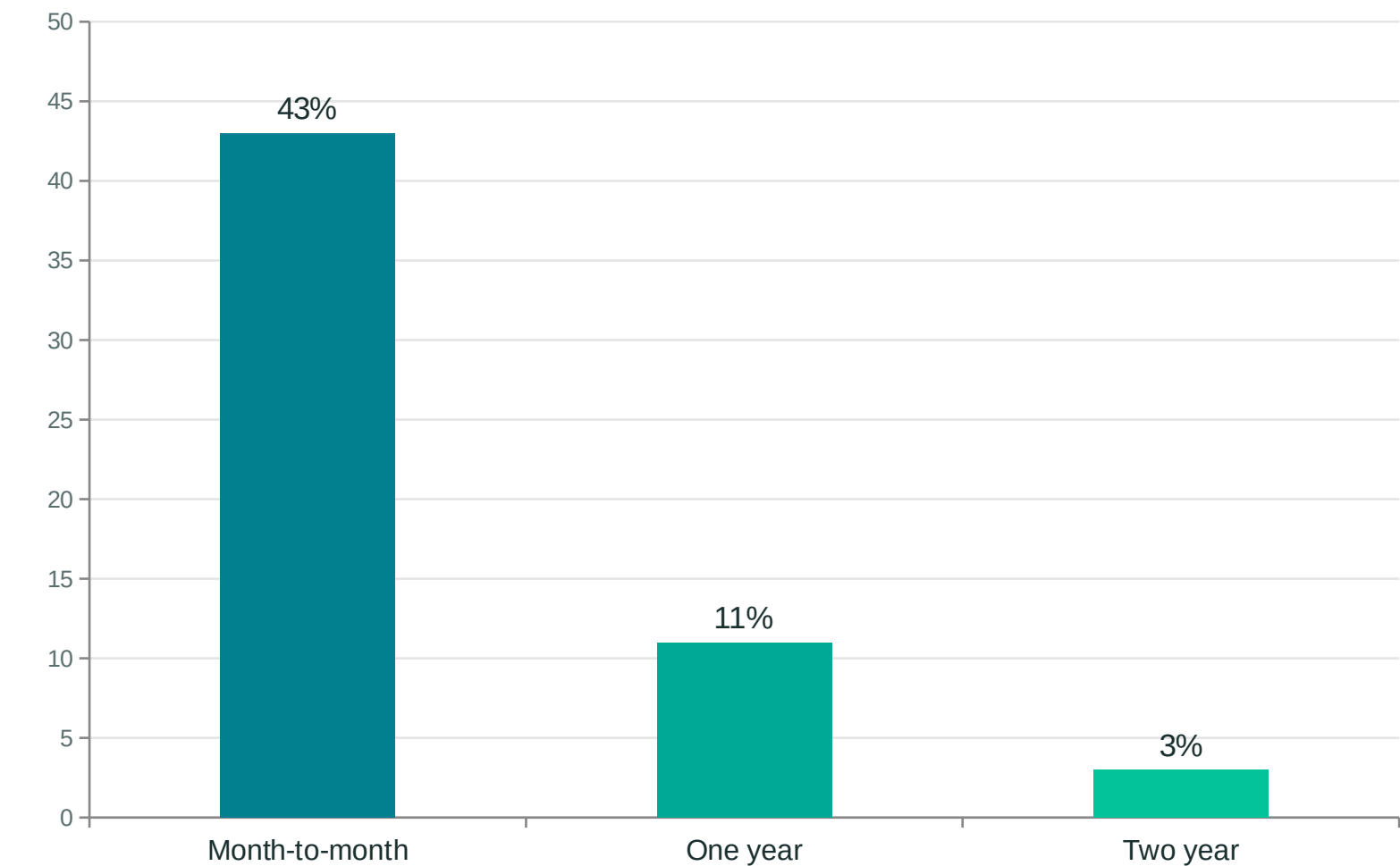
Analysis Tool Used

Key fields used: Contract type, Churn status

Additional fields available: tenure, monthly charges, internet service, payment method, and other customer account details.

Key Visualization

Churn Rate by Contract Type



14x

higher churn for month-to-month vs. two-year contract customers

Table:

3,875 → 43%

1,473 → 11%

1,695 → 3%

Major Findings

1

Contract commitment is the strongest churn driver

Customers with no long-term commitment churn far more than those locked into annual or biennial plans.

2

Month-to-month is the highest-risk segment

It's also the largest customer group — small retention gains here carry outsized business impact.

3

A modest commitment step reduces churn sharply

Churn drops from 43% to 11% just by moving to a one-year term — a full two-year commitment isn't required to see gains.

Recommendations

Introduce loyalty programs rewarding longer-term contracts

Offer incentives to upgrade month-to-month customers to annual plans

Improve customer support for price/service-sensitive segments

Proactively target month-to-month customers before renewal

Monitor churn rate by contract type on an ongoing basis

Conclusion

A focused, well-visualized analysis of a single key variable — contract type — revealed a clear and actionable business insight. By encouraging customers toward longer-term contracts through loyalty incentives and improved support, the business has a concrete, data-backed opportunity to significantly reduce customer churn.